Satya Nadella on AI safety

Why models should be treated as insider risks

—By **Vyom Ramani**

There is a company policy stating that you can't authorize a wire transfer as an intern. But what policy applies when your AI agent with read permissions for your whole hard drive does that? According to Satya Nadella, there is no good answer for most organizations. In his article on X, he states that "frontier" models actually operate with real power within companies while their actions cannot be tracked down to a single line of code or piece of training data.



The black box problem

It all begins with a confession on the part of Nadella. When software that was traditionally used was integrated into the world economy, it was possible to find out which code path was responsible for a certain behavior. It's impossible with frontier software. It's impossible to say which output was caused by some training dataset and by a certain set of weights. Still, companies are using these programs and giving them access to private data and rights to perform actions on their behalf.

He comes to a rather clear conclusion. You are still responsible, and the guarantee given by the provider of the model does not relieve you of this responsibility. It's pretty significant coming from the CEO of a company that sells lots of AI.

Treat the model like an insider

The solution may seem like a cliche but is an intelligent repackaging of the issue. Nadella argues that frontier models, whether closed or open, should be approached as an insider risk. This is not because the model is malicious. But simply because any competent entity with access to the critical systems could commit errors or fall victim to compromise.

This approach dodges the unresolved alignment problem. Rather than wondering about the morality of the system, the questions are about its reach and the possible consequences. Enterprises have years of experience dealing with such issues: define who you are, limit privileges, monitor, draw containment boundaries. Nadella seeks similar strategies for AI.

Nested black boxes

Transparency about the chain of thought is non-negotiable to him, and he dismisses the term "neuralese" as a justification for opacity. Yet it is not sufficient because currently there is no way to ensure consistent fidelity of model output. The process of using one model to check the output of another is useful, but it comes at a cost. You get a black box nested inside an orchestration layer which is itself a black box, supervised by yet another black box.

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